

Press Release

49th AGM of Hindustan Copper Ltd

Kolkata, September 26, 2016

At the 49th AGM of Hindustan Copper Limited, the only Copper producing PSU of the country, the audited Financial Statement for the year ended 31st March, 2016, was adopted together with the Reports of the Directors, Auditors and C&AG.

Approval of the Board of Directors, to offer issue and allot, secured or unsecured non-convertible debentures/ bonds on private placement basis was accorded. Amount will be within the already approved borrowing limit of Rs 800 crore by shareholders.



Performance:

- i. Copper ore production of 3.9 million tonnes in 2015-16 was the highest in last 17 years. The production has registered increase of about 11.5 percent over last year's Ore production of 3.5 million tonnes.
- ii. Metal in Concentrate (MIC) production of 31,578 tonnes during the year registered an increase of about 27 percent over last year's MIC production of 24,878 tonnes.
- iii. Cathode production of 23,024 tonnes during the year registered an increase of about 8.6 percent over last year's Cathode production of 21,205 tonnes
- iv. Wire Rod production of 26,062 tonnes during the year registered an increase of about 33 percent over last year's Wire Rod production of 19,576 tonnes.
- v. Overall sale volume during the year was 24,112 tonnes as against 21,641 tonnes in the previous year thereby registering a growth of 11.42 percent.

Financial

- i. Financial year 2015-16 has been an extremely challenging year for the Company.
- ii. Despite, marked improvement in physical performance of the Company during the year, the bottom line of the Company has been adversely affected due to steep fall in LME prices.
- iii. During 2015-16, the Profit After Tax was Rs.43.56 crore as against Rs 67.60 crore in 2014-15. The decrease in Profit is due to fall in LME average price by 20.43% during

the fiscal year 2015-16 as compared to last fiscal year. Average LME Price during FY 2015-16 was US\$ 5215/T as against US\$ 6554/T during FY 2014-15.

- iv. Total sales realization in terms of turnover achieved was Rs 1068.95 crore during 2015-16 as against Rs 1127.49 crore in 2014-15 even after registering a growth of 11.4 percent in sales tonnage during the year.
- v. The Net Worth of the Company as at 31st March 2016 stood at Rs 1913.39 crore.
- vi. The Company will continue to focus of improving productivity and become more cost efficient to tide over the challenges of downturn in LME prices. We have also taken concerted efforts on generating extra revenue from other streams.

Dividend

No dividend payment for the year 2015-16 keeping in view the Capex and business expansion needs and substantial reduction in cash and bank balances.

Growth Initiatives

- i. The work at Malanjkhand underground mine, which is the flagship expansion project of the Company, has commenced and is expected to complete on schedule.
- ii. All mine expansion projects have been affected due to delay in grant of Environment and Forest clearances from the Government. Recently, the Company has obtained forest clearance for re-opening of Rakha mine from the Government of India.
- iii. HCL has acquired the plant and machinery of Jhagadia Copper Ltd located at District Bharuch, Gujarat from Arcil, Mumbai. I am happy to share that commercial production from the plant has commenced after successfully completing first phase of refurbishment work of the plant. The production ramp to the capacity level is expected to achieve by the first quarter of next fiscal.
- iv. HCL has commissioned a plant at Ghatsila smelter to extract LME grade Nickel metal. With this, HCL is first Company in the country to produce Nickel metal from primary resource. The plant, besides production of Nickel, will also improve the affluent quality, as all the acid present is extracted.
- v. HCL has taken a leap towards developing a new technology for processing Sulphide Copper concentrate through hydro-metallurgy technology in collaboration with Outotec, Finland. The results of the pilot test conducted with the proposed “Hydro-Metallurgy” technology have been successful and capex and opex are lower than the conventional technology for the volume of production considered. Based on the above technology, the Company intends to build a plant of capacity one lakh tonne per annum to manufacture Copper cathode.
- vi. HCL has also initiated actions to recover metals and materials, like precious metal, Magnetite, Silica sand and micro nutrient, from the Copper ore tails. A pilot plant of 200 tonne per day capacity has been commissioned at Khetri Copper Complex. Based on the results, we are planning set up commercial plant at Malanjkhand and Khetri. We expect that this will contribute significantly to the profitability of the Company in the years to come.
- vii. To increase the resource base of Copper mineral, HCL has executed a Joint Venture Agreement on 30th August 2016 with Chhattisgarh Mineral Development Corporation Ltd., a Government of Chhattisgarh enterprise, for exploration, mining and beneficiation of Copper and its associated minerals in the state of Chhattisgarh.

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